

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL
(EUROPE) LIMITED., *Respondents and Third-Party
Complainants*

v.

SAMSUNG ELECTRONICS COMPANY, LTD., *Third-Party
Respondent.*

DOCKET NO. 24-17

Served: July 10, 2025

ORDER OF: Richard AMBROW, *Administrative Law Judge.*

**ORDER GRANTING OOCL’S MOTION FOR RECONSIDERATION, AND DENYING SEC’S MOTION
TO DISMISS THIRD PARTY COMPLAINT, OOCL’S MOTION FOR ALTERNATIVE SERVICE,
OOCL’S MOTION FOR ENLARGEMENT, AND SEC’S MOTION FOR AN ORDER PRESERVING
DEFENSE**

For the reasons discussed below, Respondents’ Motion for Reconsideration (“MFR”) is **GRANTED**. The following motions are **DENIED**: Third Party Respondent’s Motion to Dismiss Respondents’ Third-Party Complaint (“SEC’s MTD 3d Party Complaint”), Respondents’ Motion for Enlargement of Time to File Supplemental Briefs (“OOCL’s Motion for Enlargement”), Third Party Complainants’ Motion to Permit Alternative Service Under FED. R. CIV. P. 4(f)(3) (“OOCL’s Motion for Alternative Service”), and Third Party Respondent’s Motion for an Order Preserving Defense (“SEC’s Motion to Preserve Defense”).

I. BACKGROUND

A. The Amended Complaint, Counterclaim and Third Party Complaint

The Office of the Secretary served the original Verified Complaint of Complainant Samsung Electronics America Inc. (“SEA”) on March 28, 2024. (See Verified Complaint; see also Notice of Filing of Complaint and Assignment).

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (“Respondents” or “OOCL”), filed Respondents’ Motion to Dismiss (“OOCL’s MTD”) on May

13, 2024, seeking to dismiss the entire Verified Complaint for failure to state a claim and lack of jurisdiction (OOCL’s MTD, at 5-6).

On November 18, 2024, after OOCL’s MTD was fully briefed, Administrative Law Judge Alex M. Chintella granted OOCL’s MTD in part, dismissing claims for retaliation under 46 U.S.C. §§ 41102(d) and 41104(a)(3), as well as refusal to deal or negotiate under 46 U.S.C. § 41104(a)(10). (*See Order Partially Granting Motion to Dismiss* (the “November 18 Order”)).

The November 18 Order allowed SEA’s claims under 46 U.S.C. §§ 41102(c), 41104(a)(15), and 41104(a)(14) to go forward, though the November 18 Order also required SEA to file an amended complaint to clarify the amount of reparations sought.

On December 2, 2024, SEA filed the operative Verified Amended Complaint (“Amended Complaint”) alleging that OOCL violated 46 U.S.C. §§ 41102(c), 41104(a)(15), and 41104(a)(14). In general, SEA alleges that OOCL imposed unjust and unreasonable demurrage and detention charges, provided invoices to SEA with insufficient information, and established unjust and unreasonable dispute resolution procedures. (*See generally* Amended Complaint).

On December 12, 2024, OOCL filed a Verified Answer. The Verified Answer included a Counterclaim against SEA. In the Counterclaim, OOCL alleged that SEA violated 46 U.S.C. § 41102(a) by: “bringing legal proceedings against OOCL and other ocean carriers in an attempt to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions” (Counterclaim, ¶ 42).

On January 6, 2025, SEA filed Complainant’s Motion to Dismiss Respondents’ Counterclaim (“MTD Counterclaim”) in which SEA argued that OOCL failed to state a claim upon which relief may be granted.

On March 31, 2025, after the MTD Counterclaim was fully briefed, Judge Chintella issued an Order Granting Complainant’s Motion to Dismiss Respondent’s Counterclaim (the “March 31 Order”). Among other things, Judge Chintella noted that SEA’s claims already withstood a motion to dismiss, and were facially legitimate. (March 31 Order, at 5). Moreover, the third element of a claim under § 41102(a) (*i.e.*, respondent obtained or attempted to obtain ocean transportation at less than applicable rates) could not be satisfied: if SEA’s claims succeed, SEA will not owe the charged demurrage and detention; and if SEA’s claims fail, SEA will not pay less than applicable rates. (*Id.*). Judge Chintella concluded that OOCL’s Counterclaim under § 41102(a) failed as a matter of law. Judge Chintella further found that it would be futile to attempt to amend the Counterclaim, and thus dismissed the Counterclaim with prejudice. (*Id.*, at 5-6). That order is currently on appeal before the Commission.

On December 12, 2024, OOCL filed a Third Party Complaint (“3d Party Complaint”) against Samsung Electronic Company, Ltd. (“SEC”). The 3d Party Complaint is substantially similar to the Counterclaim, and alleges that SEC violated § 41102(a) by: “bringing legal proceedings against OOCL and other ocean carriers in an attempt to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions” (3d Party Complaint, ¶ 63).

On January 29, 2025, SEC filed the MTD 3d Party Complaint. In it, SEC argues that it was not properly served by the Office of the Secretary in accordance with the provisions of the Hague Convention. (*See generally* SEC's MTD 3d Party Complaint). On February 13, 2025, OOCL filed Respondents' Brief in Opposition to Third-Party Respondent's Motion to Dismiss the Third-Party Complaint ("MTD 3d Party Complaint Response"), arguing, among other things, that Samsung has waived proper service in numerous other cases, that Samsung clearly received notice of the 3d Party Complaint, and that, in any event, the proper remedy is to allow OOCL to serve Samsung. (*See generally* MTD 3d Party Complaint Response). On February 20, 2025, Samsung filed Third-Party Respondent's Reply to Respondents' Opposition to Third-Party Respondent's Motion to Dismiss Respondents' Third Party Complaint ("MTD 3d Party Complaint Reply").

The Office of the Secretary typically serves a complaint using first class or express mail service at the Respondent's address provided by the Complainant. (46 C.F.R. § 502.113(b)). The record contains letters dated January 29, 2025, and February 19, 2025, from the Office of the Secretary to OOCL's counsel indicating that the 3d Party Complaint was returned as undeliverable or not accepted for delivery.

OOCL filed a Motion to Stay on April 16, 2025. In short, OOCL argued that moving forward with discovery while its Counterclaim is pending appeal, and while Samsung's status as a party is still undetermined, would be highly inefficient. (*See generally* Motion to Stay; *see also* Memorandum of Law In Support of Respondents' Motion to Stay Proceedings). In response, SEA argued that Judge Chintella's dismissal of the Counterclaim was correct, and that the parties still do not yet have a discovery schedule. (*See generally* Complainant's Reply to Respondent's Appeal of the Order Granting the Motion to Dismiss Respondents' Counterclaim with Prejudice).

B. Case Reassignment, June 11 Order, and Subsequent Motions

On June 6, 2025, this matter was reassigned to the Undersigned.

On June 11, 2025, I issued an Order Requiring Supplemental Briefing, Denying Motion to Stay, Granting in Part and Denying in Part Third Motion for Enlargement of Time, and Requiring Joint Status Report (the "June 11 Order"). In the June 11 Order, I denied the Motion to Stay because there was no good reason for further delaying SEA's claims involving wrongful detention and demurrage charges. I did not decide SEC's MTD 3d Party Complaint, but instead ordered the parties to file supplemental briefing on whether OOCL's 3d Party Complaint fails to state a claim upon which relief may be granted. The June 11 Order required OOCL to file a supplemental brief by June 26. The June 11 Order also provided that SEC may file a response supplemental brief by July 14, and OOCL may file a reply by July 18.

Subsequently, OOCL filed a Motion for Reconsideration, as well as a Motion for Enlargement of Time to File Supplemental Briefs on June 18, 2025. In the MFR, OOCL objected to the supplemental briefing procedure. In the Motion for Enlargement, OOCL requested that it be allowed extra time to file its supplemental brief. Both SEA and SEC opposed the MFR.

On June 24, 2025, OOCL filed a Motion to Permit Alternative Service Under FED. R. CIV. P. 4(f)(3). The Motion for Alternative Service will be discussed more below, but, in general, OOCL argues that it should be allowed to serve SEA's counsel by email or personal service pursuant to Rule 4(f)(3) of the Federal Rules OF Civil Procedure. Both SEA and SEC opposed the Motion for Alternative Service.

Also on June 24, 2025, SEC filed a Motion for an Order Preserving Defense, essentially seeking an order that its lack of service defense would be preserved even if it were to address whether OOCL's 3d Party Complaint fails to state a claim.

On June 25, 2025, after a status conference with the parties, I issued an Order Following Status Conference that reaffirmed the supplemental briefing schedule in the June 11 Order, and required SEA and OOCL to file a joint status report.

On July 1, 2025, after SEA and OOCL filed their first joint status report, I issued a Scheduling Order requiring SEA and OOCL to commence discovery as of July 1, 2025, and encouraged them to pursue discovery expeditiously. I also required the parties to provide joint status reports on the first business day of every month beginning August 1, 2025.

II. DISCUSSION

As this matter is presently situated, OOCL filed the 3d Party Complaint against SEC on December 12, 2024, but SEC has not yet been served. The Office of the Secretary attempted service twice, but it was not successful. The parties filed motions related to the issue of service of 3d Party Complaint on SEC, which I now discuss.

A. SEC's MTD 3d Party Complaint and Motion for Alternative Service

The premise of SEC's MTD 3d Party Complaint is that service of the 3d Party Complaint can only be affected on SEC by means of the process set forth under the Hague Convention.

The Hague Convention requires each country to designate a Central Authority to accept incoming requests for service. The Central Authority is then responsible for arranging service to the defendant. Article 5(1) permits the Central Authority to require the document to be written in, or translated into, the official language or one of the official languages of the country in which the party being served is located. The Republic of Korea requires a full translation for any document to be served under Article 5(1)(a) & (b). Use of the Hague Convention procedures, when available, is mandatory if the documents must be transmitted abroad to effect service.

(*Castillo v. Hongjin Crown Corp.*, Dkt. No. DR-08-CV-00031-AML-VRG, 2008 WL 11334092, at *2 (W.D. Tx. Oct. 27, 2008)) (internal citations omitted). SEC argues that it was not properly served because these procedures have not been followed.

I find SEC's argument to be persuasive. There is ample authority that entities and individuals in Korea are properly served via the Hague Convention procedures. (*Castillo*, 2008 WL 11334092, at *2; *see also Nexon Korea Corp. v. Ironmace Co., Ltd.*, Case No. C23-576-

MLP, 2023 WL 3599548, at *2 (W.D. Wash. May 23, 2023); *Carrico v. Samsung Electronics Co., Ltd.*, Case No. 15-cv-02087-DMR, 2016 WL 2654392, at *3 (N.D. Cal. May 10, 2016); *Allstate Ins. Co. v. Hewlett-Packard Co.*, No. 1:13-cv-02559, 2016 WL 613571, *2-3 (M.D. Pa. Feb. 16, 2016)). I find that SEC was not served using the Hague Convention procedures because the 3d Party Complaint was not sent to the Korean Central Authority, nor was the 3d Party Complaint translated.

SEC argues that because service was not properly made, the 3d Party Complaint should be dismissed. (SEC's MTD 3d Party Complaint, at 7-8). I am not persuaded. "In many instances where a foreign corporation has not been served in compliance with the Hague Convention, the favored remedy is to allow the plaintiff the appropriate time to properly serve the defendant." (*Castillo*, 2008 WL 11334092, at *2; see also *Capturion Network, LLC v. Liantronics, LLC*, Civil Act. No. 2:19-cv-13-KS-MTP, 2021 WL 1083180 (S.D. Miss. March 18, 2021) (noting several instances of the time to affect service being extended); *Brown v. Allen*, Case No. 8:09-cv-1504-T-24 EAJ, 2010 WL 11507324, at *1-2 (M.D. Fla. Aug. 17, 2010)). Therefore, I find that dismissal for failure to serve SEC is inappropriate in this case. Instead, under 46 C.F.R. § 502.113(c), OOCL may have a reasonable time to serve the 3d Party Complaint pursuant the Hague Convention procedures.

OOCL argues that SEC was already served by the Office of the Secretary. Citing *Taotao USA, Inc. v. Environmental Protection Agency*, Civil Action No. 20-cv-915 (BAH), 2022 WL 969651 (D.D.C. 2002), OOCL argues that SEC was served pursuant to the Commission's procedures outline in Commission Rule 113(b). I do not agree with OOCL's analysis. *Taotao* is distinguishable because *Taotao* noted that the EPA's rules expressly permitted service on an agent authorized under federal or state law, and that the authorized agent was served. (*Taotao*, 2022 WL 96965 at *15-16). Here, the Commission's rules do not expressly authorize service on an agent in the United States authorized under federal or state law.

OOCL argues in its Motion for Alternative Service that I should allow it to serve SEC by alternative means pursuant to Rule 4(f)(3) of the Federal Rules of Civil Procedure. Rule 4(h) of the Federal Rules of Civil Procedure provides that: to serve a foreign corporation "at a place not within any judicial district of the United States, in any manner prescribed by Rule 4(f) for serving an individual, except personal delivery under (f)(2)(C)(i)." In turn, Rule 4(f) provides three different methods for serving internationally, including by means of the Hague Convention procedures, "or" by other means "not prohibited by international agreement, as the court orders." (FED. R. CIV. P. 4(f)(3)). OOCL argues I should rely on Rule 4(f)(3) and permit it to serve SEC via email or physical delivery on SEC's counsel, and argues that several courts have allowed similar means of service. (Motion for Alternative Service, at 1).

As an initial matter, although Commission Rule 113 discusses methods of service, it does not specifically discuss how international service is perfected. Commission Rule 12 provides that for situations that are not covered by a specific Commission rule, "the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." (46 C.F.R. § 502.12). Therefore, I find that the provisions governing international service in Rule 4 of the Federal Rules of Civil Procedure may be followed here.

To affect service under Rule 4(f)(3), there are three requirements. First, service by alternative means must be ordered by the court; second, the ordered form of service cannot be prohibited by international agreement; and third, due process requires that the ordered form of service be reasonably calculated to apprise the defendant of the action against it and to give it an opportunity to respond. (*See Rio Properties, Inc. v. Rio Intern. Interlink*, 284 F.3d 1007, 1014, 1016 (9th Cir. 2002)). Under Rule 4(f)(3), it is within a court's discretion whether permit service via alternative means. (*Madu, Edozie & Madu, P.C. v. SocketWorks Ltd. Nigeria*, 265 F.RD. 106, 115 (S.D.N.Y. 2010) (citations omitted) (“The decision whether to allow alternative methods of serving process under Rule 4(f)(3) is committed to the sound discretion of the district court.”)). Court-directed service under Rule 4(f)(3) is as favored as service available under Rule 4(f)(1) or Rule 4(f)(2). (*Rio Properties*, 284 F.3d at 1015). “Indeed, Rule 4(f)(3) is one of three separately numbered subsections in Rule 4(f), and each subsection is separated from the one previous merely by the simple conjunction ‘or.’” (*Id.*).

Cases have discussed appropriate circumstances for exercising discretion. When exercising such discretion, some courts have considered whether there was a showing that the plaintiff has reasonably attempted to effectuate service on the defendant, and whether there was a showing that the circumstances are such that the court's intervention is necessary. (*In re BRF S.A. Securities Litigation*, 18-cv-2213 (PKC), 2019 WL 257971, at *2 (S.D.N.Y. Jan. 18, 2019) (citations omitted)). There is case law indicating that permitting alternative service based solely on the cumbersome nature of the Hague Convention process is disfavored. “Rule 4(f)(3) was not meant to displace the other rules for service in every instance in which alternative means of service are seen as more convenient[,]” and “. . . courts have typically invoked Rule 4(f)(3) only when special circumstances have justified departure from the more conventional means of service.” (*In re OnePlus Technology (Shenzhen) Co., Ltd.*, 2021-165, 2021 WL 4130643, at *3 (Fed. Cir. Sept. 10, 2021)).

Some cases have permitted service on a party's counsel by email. Such cases have noted that even where a country, like Korea, has objected to service via mail, service via email on counsel in the United States is not prohibited by the Hague Convention. (*Nexon Korea*, 2023 WL 2599548, at *2; *Carrico*, 2016 WL 2654392, at *4). Further, given counsel is in contact with his or her client, service upon counsel is reasonably calculated to apprise the defendant of the action. (*Nexon Korea*, 2023 WL 2599548, at *3; *Carrico*, 2016 WL 2654392, at *4-5)

OOCL argues that I should allow it to serve SEC via email “to avoid delays that would otherwise occur under the Convention.” (Motion for Alternative Service, at 4). I am not persuaded by this reason for permitting alternative service. Avoidance of delay alone is disfavored as a reason to permit alternative service. (*In re OnePlus*, 2021 WL 4130643, at *3 (“We have concerns about the district court's invocation of alternative means of service under Rule 4(f)(3) based solely on the fact that service under the Hague Convention is more cumbersome than more informal means of service on representatives of a foreign entity.”)). Moreover, OOCL has never attempted service under the Hague Convention procedures. (*ElectricProtect Corp v. Zhongshan Kaper Elec. Co., Ltd.*, Civil Action No. 2:24-cv-00547-JRG, 2025 WL 28002, at *1, *3 (E.D. Tex. Jan. 3, 2025) (denying a motion for service under Rule 4(f)(3) where there was no showing of any attempt to serve a complaint via the Hague Convention process)). Therefore, I find that avoidance of delay alone is not sufficient reason for allowing alternative service.

OOCL also asserts that alternative service should be permitted to avoid “the piecemeal litigation of the claims in this proceeding.” (Motion for Alternative Service, at 4). I am not persuaded by this reason, either. As I have expressed previously, it is not clear that OOCL’s 3d Party Complaint contains a plausible claim. Judge Chintella previously dismissed OOCL’s Counterclaim against SEA, which is very similar to OOCL’s 3d Party Complaint against SEC. Judge Chintella’s rationale, though not binding or precedential, is persuasive. Therefore, I do not anticipate piecemeal litigation in this matter.

For these reasons, SEC’s MTD 3d Party Complaint is **DENIED**. OOCL’s Motion for Alternative Service is **DENIED**. I find that SEC has not been properly served. Under 46 C.F.R. § 502.113(c), OOCL may have a reasonable period of time serve the 3d Party Complaint by means of the Hague Convention. As part of OOCL’s forthcoming joint status report of August 1, 2025, OOCL is to provide details regarding steps it has undertaken to serve SEC.

B. Motion for Reconsideration

OOCL’s MFR asks that I reconsider my order requiring supplemental briefs. Among other reasons given urging reconsideration, OOCL pointed out that Commission decisions generally cannot bind non-parties (with the possible exception of class action suits). (MFR, at 9). This is correct. “It is an elementary principle that a court cannot adjudicate directly upon a person’s right without having him either actually or constructively before it. This principle is fundamental.” (*Trump v. CASA, Inc.*, 606 U.S. ___, 2025 WL 1773631, at *7 (2025) (quoting *Gregory v. Stetson*, 133 U.S. 579, 586 (1890))).

As discussed above, SEC is currently not before the Commission. Therefore, it should properly be made a party. If, at that time, SEC moves to dismiss under Rule 12(b)(6) of the Federal Rules of Civil Procedure, it can then comment on whether the 3d Party Complaint states a plausible claim against it. Accordingly, the MFR is **GRANTED**. No further supplemental briefing regarding whether the 3d Party Complaint states a plausible claim is required. In the event SEC is served, and files a motion to dismiss under Rule 12(b)(6) of the Federal Rules of Civil Procedure, I will consider the Supplemental Brief of OOCL Regarding Non-Dismissal of Third-Party Complaint as part of the record, and will further permit OOCL to respond to specific arguments SEC may raise.

OOCL’s Motion for Enlargement of Time to File Supplemental Briefs and SEC’s Motion to Preserve Defense are **DENIED** as moot.

III. ORDER

For the reasons discussed, it is **HEREBY ORDERED** that OOCL’s Motion for Reconsideration is **GRANTED**. Supplemental briefs on whether the 3d Party Complaint states a plausible claim are no longer required. It is

FURTHER ORDERED that SEC’s MTD 3d Party Complaint is **DENIED** and OOCL’s Motion for Alternative Service is **DENIED**. SEC has not been properly served. OOCL may commence service procedures under the Hague Convention. OOCL is to provide an update regarding steps it has taken to perfect service under the Hague Convention in the upcoming August 1, 2025, joint status report. It is

FURTHER ORDERED that OOCL's Motion for Enlargement of Time, and SEC's Motion for an Order Preserving Defense are **DENIED** as moot.

Richard C. Ambrow Jr -S Digitally signed by Richard C.
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Richard Ambrow
Administrative Law Judge